ANNUAL OPERATING BUDGET

Redwood Health Center | Charlotte, NC

Property	Redwood Health Center
Fiscal Year	2024
Submitted By	Orion Commercial Management
Submitted	October 17, 2021

Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$165,900	$168,035	$179,158	$13,257	8.0%	$44,789.40
5010 Loss to Lease	$70,791	$74,328	$79,014	$8,223	11.6%	$19,753.41
5020 Vacancy Loss	$212,938	$202,119	$213,171	$233	0.1%	$53,292.70
5030 Concessions	$137,065	$129,119	$133,874	-$3,191	-2.3%	$33,468.55
5040 Bad Debt	$235,614	$253,536	$271,003	$35,389	15.0%	$67,750.84
5050 Late Fees	$109,115	$109,830	$115,110	$5,995	5.5%	$28,777.47
5060 Utility Reimbursements	$240,098	$221,477	$222,255	-$17,843	-7.4%	$55,563.73
5070 Parking Income	$253,247	$263,007	$263,703	$10,455	4.1%	$65,925.63
5080 Application Fees	$29,385	$29,568	$30,821	$1,436	4.9%	$7,705.35
5090 Pet Rent	$280,080	$298,677	$318,926	$38,846	13.9%	$79,731.49
5100 Laundry Income	$71,636	$70,592	$70,958	-$678	-0.9%	$17,739.40
5110 Cable/Internet Revenue	$89,597	$87,971	$93,432	$3,834	4.3%	$23,357.90
5120 CAM Reimbursements	$95,463	$88,449	$92,442	-$3,021	-3.2%	$23,110.39
5130 Tax Reimbursements	$157,162	$164,658	$170,148	$12,987	8.3%	$42,537.10
5140 Insurance Reimbursements	$232,331	$215,752	$224,528	-$7,804	-3.4%	$56,131.88
5150 Percentage Rent	$208,847	$208,835	$222,856	$14,009	6.7%	$55,714.00
5160 Misc. Income	$87,044	$80,525	$83,655	-$3,389	-3.9%	$20,913.74
5170 Payroll - Management	$23,841	$25,335	$25,681	$1,840	7.7%	$6,420.18
5180 Payroll - Leasing	$227,079	$216,509	$218,228	-$8,851	-3.9%	$54,557.02
5190 Payroll - Maintenance	$98,185	$102,435	$102,668	$4,483	4.6%	$25,667.07
5200 Payroll Taxes & Benefits	$45,800	$49,027	$49,119	$3,319	7.2%	$12,279.70
5210 Repairs - Plumbing	$57,957	$58,812	$62,512	$4,556	7.9%	$15,628.09
5220 Repairs - HVAC	$110,066	$101,415	$104,929	-$5,136	-4.7%	$26,232.30

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5400 Advertising	$37,743	$39,467	$40,568	$2,825	7.5%	$10,142.05
5410 Resident Events	$236,738	$252,961	$260,106	$23,368	9.9%	$65,026.43
5420 Office Supplies	$26,740	$25,563	$26,465	-$275	-1.0%	$6,616.26
5430 Legal & Professional	$109,490	$109,343	$115,276	$5,786	5.3%	$28,818.98
5440 Accounting & Audit	$50,452	$53,418	$55,393	$4,941	9.8%	$13,848.31
5450 Licenses & Permits	$75,165	$75,082	$78,777	$3,612	4.8%	$19,694.17
5460 Management Fee	$207,657	$206,882	$212,541	$4,884	2.4%	$53,135.29
5470 Property Insurance	$211,253	$218,214	$233,382	$22,129	10.5%	$58,345.38
5480 Real Estate Taxes	$69,908	$73,505	$77,060	$7,152	10.2%	$19,265.07
5490 Asset Management Fee	$142,630	$148,213	$150,077	$7,447	5.2%	$37,519.24
5500 Replacement Reserves	$24,750	$24,783	$25,916	$1,166	4.7%	$6,479.00
5510 Roof Repairs	$100,333	$100,512	$105,114	$4,781	4.8%	$26,278.61
5520 Parking Lot Repairs	$214,285	$225,478	$228,895	$14,610	6.8%	$57,223.83
5530 Signage	$187,353	$196,847	$198,100	$10,747	5.7%	$49,525.09
5540 Tenant Improvements	$13,740	$14,418	$15,006	$1,265	9.2%	$3,751.42
5550 Leasing Commissions	$144,577	$145,673	$148,632	$4,056	2.8%	$37,158.05
5000 Gross Potential Rent	$209,195	$206,964	$210,835	$1,641	0.8%	$52,708.85
5010 Loss to Lease	$152,889	$151,871	$156,038	$3,149	2.1%	$39,009.38
5020 Vacancy Loss	$220,941	$211,091	$224,183	$3,242	1.5%	$56,045.85
5030 Concessions	$46,444	$44,210	$44,801	-$1,642	-3.5%	$11,200.30
5040 Bad Debt	$212,492	$222,755	$237,639	$25,147	11.8%	$59,409.85
5050 Late Fees	$206,136	$207,252	$207,850	$1,715	0.8%	$51,962.61
5060 Utility Reimbursements	$260,542	$249,799	$260,262	-$280	-0.1%	$65,065.39
5070 Parking Income	$41,614	$40,337	$41,849	$235	0.6%	$10,462.25
5080 Application Fees	$53,809	$55,667	$57,272	$3,462	6.4%	$14,317.92
5090 Pet Rent	$182,917	$184,976	$195,109	$12,192	6.7%	$48,777.26
5100 Laundry Income	$195,896	$189,159	$197,727	$1,832	0.9%	$49,431.85
5110 Cable/Internet Revenue	$65,027	$61,358	$64,179	-$848	-1.3%	$16,044.76
5120 CAM Reimbursements	$21,897	$20,681	$21,210	-$686	-3.1%	$5,302.53
5130 Tax Reimbursements	$228,873	$238,563	$246,954	$18,081	7.9%	$61,738.48
5140 Insurance Reimbursements	$171,626	$180,677	$186,528	$14,902	8.7%	$46,631.93
5150 Percentage Rent	$92,719	$86,114	$88,177	-$4,543	-4.9%	$22,044.19
5160 Misc. Income	$252,696	$258,455	$271,952	$19,256	7.6%	$67,987.99
5170 Payroll - Management	$231,646	$246,410	$255,908	$24,262	10.5%	$63,977.12
5180 Payroll - Leasing	$240,009	$255,551	$258,316	$18,306	7.6%	$64,578.91
5190 Payroll - Maintenance	$81,289	$83,384	$88,488	$7,199	8.9%	$22,122.01
5200 Payroll Taxes & Benefits	$146,527	$136,597	$145,060	-$1,467	-1.0%	$36,265.03
5210 Repairs - Plumbing	$288,082	$305,738	$315,295	$27,212	9.4%	$78,823.68
5220 Repairs - HVAC	$50,975	$47,174	$49,972	-$1,003	-2.0%	$12,493.04
5230 Repairs - Electrical	$105,383	$104,233	$109,017	$3,634	3.4%	$27,254.31

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Debt service coverage ratio was 5.72x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $93,000, representing a 11.8% increase over the prior year. Operating expenses totaled $93,000 or approximately 36.82 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Effective gross income for the trailing period was $476,000, representing a 6.6% increase over the prior year. The going-in capitalization rate of 5.15% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $50,000 or approximately 46.06 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 12 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Service requests are tracked through a work-order system with an average completion time of 48 hours. Patient parking and ADA-compliant access are provided at a ratio of 19 spaces per 1,000 square feet.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 92.7% of billed charges, with bad debt of 7.9% of gross potential income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Service requests are tracked through a work-order system with an average completion time of 43 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day.

Valuation Discussion

Debt service coverage ratio was 7.68x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Patient parking and ADA-compliant access are provided at a ratio of 20 spaces per 1,000 square feet. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The going-in capitalization rate of 5.70% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 7.43% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.44x on a trailing basis against a covenant minimum of 1.20x. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Operating expenses totaled $319,000 or approximately 20.19 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet.

Management Commentary

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5280 Landscaping Contract	$65,684	$66,070	$69,497	$3,813	5.8%	$17,374.22
5290 Snow Removal	$194,347	$199,254	$201,721	$7,374	3.8%	$50,430.26
5300 Janitorial	$138,404	$130,707	$139,197	$793	0.6%	$34,799.16
5310 Pest Control	$231,267	$228,119	$230,576	-$691	-0.3%	$57,644.04
5320 Trash Removal	$49,357	$50,791	$53,752	$4,395	8.9%	$13,437.89
5330 Elevator Contract	$140,931	$151,709	$158,352	$17,420	12.4%	$39,587.88
5340 Fire & Life Safety	$172,351	$160,315	$164,755	-$7,596	-4.4%	$41,188.84
5350 Security	$183,672	$185,972	$196,071	$12,399	6.8%	$49,017.74
5360 Electricity - Common	$200,582	$216,041	$216,075	$15,493	7.7%	$54,018.64
5370 Gas - Common	$107,958	$103,438	$104,644	-$3,315	-3.1%	$26,160.95
5380 Water & Sewer	$275,707	$276,028	$291,310	$15,603	5.7%	$72,827.58
5390 Telephone/Internet	$242,003	$242,241	$251,059	$9,056	3.7%	$62,764.73
5400 Advertising	$275,558	$257,927	$271,969	-$3,590	-1.3%	$67,992.25
5410 Resident Events	$227,899	$234,575	$241,537	$13,638	6.0%	$60,384.14
5420 Office Supplies	$207,935	$209,438	$220,892	$12,956	6.2%	$55,222.97
5430 Legal & Professional	$100,409	$94,184	$96,287	-$4,121	-4.1%	$24,071.82
5440 Accounting & Audit	$31,716	$31,141	$31,707	-$9	-0.0%	$7,926.75
5450 Licenses & Permits	$163,301	$154,118	$155,499	-$7,802	-4.8%	$38,874.73
5460 Management Fee	$36,963	$35,494	$36,095	-$868	-2.3%	$9,023.76
5470 Property Insurance	$70,510	$68,052	$71,358	$847	1.2%	$17,839.40
5480 Real Estate Taxes	$235,482	$234,057	$240,953	$5,471	2.3%	$60,238.13
5490 Asset Management Fee	$159,670	$161,717	$164,189	$4,519	2.8%	$41,047.24
5500 Replacement Reserves	$25,419	$27,343	$27,547	$2,128	8.4%	$6,886.67
5510 Roof Repairs	$156,549	$151,132	$153,031	-$3,518	-2.2%	$38,257.77
5520 Parking Lot Repairs	$221,742	$213,737	$216,027	-$5,715	-2.6%	$54,006.80
5530 Signage	$215,173	$221,895	$233,753	$18,581	8.6%	$58,438.26
5540 Tenant Improvements	$139,278	$134,163	$134,449	-$4,829	-3.5%	$33,612.21
5550 Leasing Commissions	$113,173	$104,705	$105,891	-$7,282	-6.4%	$26,472.75
5000 Gross Potential Rent	$59,704	$61,702	$65,531	$5,826	9.8%	$16,382.67
5010 Loss to Lease	$197,754	$211,330	$212,514	$14,760	7.5%	$53,128.43
5020 Vacancy Loss	$292,528	$273,745	$282,827	-$9,701	-3.3%	$70,706.65
5030 Concessions	$263,779	$252,455	$264,986	$1,207	0.5%	$66,246.53
5040 Bad Debt	$231,891	$218,660	$218,749	-$13,142	-5.7%	$54,687.27
5050 Late Fees	$127,338	$134,018	$138,753	$11,415	9.0%	$34,688.16
5060 Utility Reimbursements	$159,687	$169,631	$178,563	$18,875	11.8%	$44,640.69
5070 Parking Income	$33,962	$33,418	$35,583	$1,621	4.8%	$8,895.68
5080 Application Fees	$164,120	$159,221	$163,872	-$248	-0.2%	$40,967.91
5090 Pet Rent	$132,719	$140,238	$147,746	$15,027	11.3%	$36,936.57
5100 Laundry Income	$135,058	$127,769	$132,135	-$2,923	-2.2%	$33,033.79
5110 Cable/Internet Revenue	$37,927	$38,986	$39,822	$1,895	5.0%	$9,955.40
5120 CAM Reimbursements	$48,424	$49,842	$52,879	$4,455	9.2%	$13,219.80
5130 Tax Reimbursements	$90,588	$86,593	$92,544	$1,956	2.2%	$23,135.95

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Operating Performance

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Operating expenses totaled $412,000 or approximately 42.23 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.57% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period.

Operating expenses totaled $46,000 or approximately 29.40 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.14x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $189,000, representing a 10.4% increase over the prior year. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The going-in capitalization rate of 5.19% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

Patient parking and ADA-compliant access are provided at a ratio of 18 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 30 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Collections for the period were 94.7% of billed charges, with bad debt of 5.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. Service requests are tracked through a work-order system with an average completion time of 31 hours. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Income and Expense Review

The going-in capitalization rate of 8.05% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Operating expenses totaled $315,000 or approximately 32.95 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Effective gross income for the trailing period was $189,000, representing a 12.4% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 29 spaces per 1,000 square feet.

Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Patient parking and ADA-compliant access are provided at a ratio of 18 spaces per 1,000 square feet. The going-in capitalization rate of 6.24% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

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5140 Insurance Reimbursements	$219,939	$232,139	$244,456	$24,517	11.1%	$61,113.98
5150 Percentage Rent	$35,391	$34,983	$36,396	$1,004	2.8%	$9,098.88
5160 Misc. Income	$272,807	$256,873	$267,007	-$5,800	-2.1%	$66,751.66
5170 Payroll - Management	$44,303	$41,328	$42,166	-$2,137	-4.8%	$10,541.57
5180 Payroll - Leasing	$261,681	$274,101	$289,022	$27,341	10.4%	$72,255.42
5190 Payroll - Maintenance	$242,280	$248,895	$262,799	$20,519	8.5%	$65,699.70
5200 Payroll Taxes & Benefits	$287,270	$274,004	$279,996	-$7,274	-2.5%	$69,998.93
5210 Repairs - Plumbing	$61,764	$65,752	$68,712	$6,948	11.2%	$17,178.04
5220 Repairs - HVAC	$184,930	$191,561	$200,768	$15,839	8.6%	$50,192.09
5230 Repairs - Electrical	$16,835	$17,242	$17,253	$419	2.5%	$4,313.37
5240 Repairs - Appliances	$92,374	$98,202	$104,517	$12,143	13.1%	$26,129.20
5250 Painting & Decorating	$96,763	$101,049	$103,097	$6,334	6.5%	$25,774.33
5260 Flooring	$215,392	$221,575	$221,864	$6,473	3.0%	$55,466.06
5270 Make-Ready / Turnover	$70,267	$74,048	$77,489	$7,222	10.3%	$19,372.21
5280 Landscaping Contract	$189,750	$201,692	$203,299	$13,548	7.1%	$50,824.68
5290 Snow Removal	$192,163	$197,091	$197,569	$5,406	2.8%	$49,392.16
5300 Janitorial	$115,910	$114,038	$120,394	$4,484	3.9%	$30,098.40
5310 Pest Control	$270,737	$286,795	$299,560	$28,823	10.6%	$74,890.10
5320 Trash Removal	$27,162	$25,344	$25,788	-$1,374	-5.1%	$6,447.03
5330 Elevator Contract	$88,939	$91,394	$91,672	$2,733	3.1%	$22,917.89
5340 Fire & Life Safety	$208,293	$198,173	$208,408	$115	0.1%	$52,102.10
5350 Security	$90,296	$89,116	$95,238	$4,942	5.5%	$23,809.60
5360 Electricity - Common	$24,735	$22,797	$23,622	-$1,113	-4.5%	$5,905.44
5370 Gas - Common	$142,244	$135,662	$142,649	$405	0.3%	$35,662.30
5380 Water & Sewer	$208,671	$220,167	$224,080	$15,409	7.4%	$56,020.09
5390 Telephone/Internet	$216,043	$221,386	$233,294	$17,251	8.0%	$58,323.60
5400 Advertising	$180,161	$187,731	$189,132	$8,971	5.0%	$47,282.93
5410 Resident Events	$245,869	$264,576	$268,995	$23,127	9.4%	$67,248.85
5420 Office Supplies	$285,529	$266,978	$267,791	-$17,738	-6.2%	$66,947.81
5430 Legal & Professional	$199,949	$200,491	$202,760	$2,811	1.4%	$50,689.88
5440 Accounting & Audit	$134,058	$129,484	$136,463	$2,404	1.8%	$34,115.63
5450 Licenses & Permits	$241,264	$227,523	$231,387	-$9,877	-4.1%	$57,846.80
5460 Management Fee	$256,673	$270,118	$274,703	$18,031	7.0%	$68,675.85
5470 Property Insurance	$224,161	$222,460	$227,293	$3,132	1.4%	$56,823.21
5480 Real Estate Taxes	$13,892	$13,498	$13,597	-$295	-2.1%	$3,399.24
5490 Asset Management Fee	$165,190	$177,062	$177,382	$12,192	7.4%	$44,345.51
5500 Replacement Reserves	$166,646	$167,157	$168,444	$1,798	1.1%	$42,110.89
5510 Roof Repairs	$244,658	$242,844	$244,170	-$488	-0.2%	$61,042.54
5520 Parking Lot Repairs	$100,567	$96,537	$102,386	$1,819	1.8%	$25,596.56
5530 Signage	$255,929	$268,089	$270,954	$15,025	5.9%	$67,738.48
5540 Tenant Improvements	$63,560	$59,973	$63,088	-$472	-0.7%	$15,771.99
5550 Leasing Commissions	$112,967	$118,418	$123,774	$10,807	9.6%	$30,943.39

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Income and Expense Review

Effective gross income for the trailing period was $104,000, representing a 13.1% increase over the prior year. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.96x on a trailing basis against a covenant minimum of 1.20x.

Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.46x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $108,000, representing a 11.5% increase over the prior year.

Leasing and Marketing

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 94.4% of billed charges, with bad debt of 5.3% of gross potential income.

Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. Collections for the period were 88.2% of billed charges, with bad debt of 4.6% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 14 hours.

Valuation Discussion

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Debt service coverage ratio was 5.74x on a trailing basis against a covenant minimum of 1.20x.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Debt service coverage ratio was 7.91x on a trailing basis against a covenant minimum of 1.20x. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 28 spaces per 1,000 square feet.

Property Operations

Collections for the period were 91.7% of billed charges, with bad debt of 3.8% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 37 hours. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5520 Parking Lot Repairs	$107,841	$109,503	$114,285	$6,445	6.0%	$28,571.30
5530 Signage	$90,814	$85,757	$90,818	$4	0.0%	$22,704.53
5540 Tenant Improvements	$235,414	$233,209	$246,113	$10,698	4.5%	$61,528.15
5550 Leasing Commissions	$34,557	$36,094	$37,862	$3,305	9.6%	$9,465.59
5000 Gross Potential Rent	$243,191	$245,902	$251,361	$8,170	3.4%	$62,840.37
5010 Loss to Lease	$83,384	$81,101	$82,350	-$1,033	-1.2%	$20,587.55
5020 Vacancy Loss	$103,888	$97,890	$102,420	-$1,468	-1.4%	$25,605.01
5030 Concessions	$164,291	$160,315	$161,109	-$3,183	-1.9%	$40,277.22
5040 Bad Debt	$187,198	$186,092	$187,655	$457	0.2%	$46,913.80
5050 Late Fees	$214,387	$213,108	$217,256	$2,869	1.3%	$54,313.90
5060 Utility Reimbursements	$272,649	$254,807	$263,055	-$9,594	-3.5%	$65,763.71
5070 Parking Income	$129,720	$127,125	$133,921	$4,201	3.2%	$33,480.20
5080 Application Fees	$274,691	$284,991	$297,436	$22,746	8.3%	$74,359.09
5090 Pet Rent	$163,635	$156,423	$157,484	-$6,151	-3.8%	$39,371.09
5100 Laundry Income	$249,719	$239,202	$248,552	-$1,167	-0.5%	$62,138.08
5110 Cable/Internet Revenue	$288,220	$280,646	$286,827	-$1,392	-0.5%	$71,706.85
5120 CAM Reimbursements	$220,357	$229,728	$230,115	$9,758	4.4%	$57,528.72
5130 Tax Reimbursements	$210,865	$204,672	$207,575	-$3,291	-1.6%	$51,893.63
5140 Insurance Reimbursements	$201,902	$212,259	$216,791	$14,888	7.4%	$54,197.64
5150 Percentage Rent	$65,047	$69,754	$70,974	$5,927	9.1%	$17,743.41
5160 Misc. Income	$16,539	$17,291	$18,153	$1,614	9.8%	$4,538.27
5170 Payroll - Management	$84,315	$89,851	$91,062	$6,747	8.0%	$22,765.55
5180 Payroll - Leasing	$278,805	$273,263	$283,053	$4,247	1.5%	$70,763.17
5190 Payroll - Maintenance	$223,166	$213,764	$214,981	-$8,185	-3.7%	$53,745.22
5200 Payroll Taxes & Benefits	$221,603	$216,455	$228,347	$6,744	3.0%	$57,086.69
5210 Repairs - Plumbing	$106,309	$100,605	$106,242	-$68	-0.1%	$26,560.39
5220 Repairs - HVAC	$121,293	$123,713	$129,500	$8,207	6.8%	$32,374.96
5230 Repairs - Electrical	$135,980	$141,157	$145,281	$9,301	6.8%	$36,320.19
5240 Repairs - Appliances	$188,310	$200,637	$213,957	$25,647	13.6%	$53,489.32
5250 Painting & Decorating	$22,015	$23,464	$23,554	$1,539	7.0%	$5,888.56
5260 Flooring	$35,764	$36,063	$37,632	$1,867	5.2%	$9,407.90
5270 Make-Ready / Turnover	$111,366	$113,943	$121,419	$10,053	9.0%	$30,354.66
5280 Landscaping Contract	$164,341	$165,147	$171,176	$6,836	4.2%	$42,794.11
5290 Snow Removal	$157,736	$156,439	$163,276	$5,540	3.5%	$40,818.98
5300 Janitorial	$25,941	$26,469	$27,533	$1,591	6.1%	$6,883.18
5310 Pest Control	$158,769	$165,555	$171,816	$13,048	8.2%	$42,954.10
5320 Trash Removal	$141,183	$143,920	$145,225	$4,042	2.9%	$36,306.13
5330 Elevator Contract	$223,335	$210,931	$211,971	-$11,364	-5.1%	$52,992.78
5340 Fire & Life Safety	$246,800	$249,686	$264,951	$18,151	7.4%	$66,237.85
5350 Security	$191,940	$197,572	$205,735	$13,795	7.2%	$51,433.77
5360 Electricity - Common	$285,907	$285,644	$286,577	$671	0.2%	$71,644.28

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Income and Expense Review

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The going-in capitalization rate of 5.06% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 48 spaces per 1,000 square feet. Effective gross income for the trailing period was $57,000, representing a 13.2% increase over the prior year.

Effective gross income for the trailing period was $204,000, representing a 13.5% increase over the prior year. Operating expenses totaled $229,000 or approximately 10.51 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Leasing and Marketing

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Collections for the period were 93.2% of billed charges, with bad debt of 7.8% of gross potential income.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Collections for the period were 91.4% of billed charges, with bad debt of 6.1% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 27 hours. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 12 spaces per 1,000 square feet.

Operating Performance

The going-in capitalization rate of 7.85% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.85x on a trailing basis against a covenant minimum of 1.20x. Patient parking and ADA-compliant access are provided at a ratio of 2 spaces per 1,000 square feet. Effective gross income for the trailing period was $191,000, representing a 12.7% increase over the prior year. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Effective gross income for the trailing period was $134,000, representing a 10.4% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 11 spaces per 1,000 square feet. The going-in capitalization rate of 7.54% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $480,000 or approximately 11.64 per square foot, with real estate taxes representing the largest line item.

Property Operations

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5320 Trash Removal	$238,124	$244,410	$260,722	$22,598	9.5%	$65,180.55
5330 Elevator Contract	$52,073	$50,705	$52,810	$737	1.4%	$13,202.51
5340 Fire & Life Safety	$275,228	$290,454	$295,949	$20,722	7.5%	$73,987.36
5350 Security	$266,849	$274,004	$289,286	$22,437	8.4%	$72,321.48
5360 Electricity - Common	$110,497	$111,576	$116,873	$6,376	5.8%	$29,218.15
5370 Gas - Common	$209,298	$219,779	$234,750	$25,452	12.2%	$58,687.62
5380 Water & Sewer	$151,912	$162,269	$164,430	$12,518	8.2%	$41,107.40
5390 Telephone/Internet	$212,633	$228,688	$230,611	$17,978	8.5%	$57,652.83
5400 Advertising	$287,210	$281,936	$290,674	$3,465	1.2%	$72,668.62
5410 Resident Events	$27,759	$25,853	$26,731	-$1,029	-3.7%	$6,682.64
5420 Office Supplies	$223,465	$230,046	$244,953	$21,488	9.6%	$61,238.15
5430 Legal & Professional	$132,726	$133,793	$137,929	$5,203	3.9%	$34,482.15
5440 Accounting & Audit	$174,343	$178,167	$181,771	$7,429	4.3%	$45,442.86
5450 Licenses & Permits	$116,213	$110,604	$114,208	-$2,006	-1.7%	$28,551.94
5460 Management Fee	$206,486	$216,447	$224,509	$18,024	8.7%	$56,127.32
5470 Property Insurance	$126,156	$121,094	$126,656	$500	0.4%	$31,664.00
5480 Real Estate Taxes	$242,434	$234,489	$239,137	-$3,297	-1.4%	$59,784.27
5490 Asset Management Fee	$128,303	$133,416	$136,636	$8,334	6.5%	$34,159.01
5500 Replacement Reserves	$26,241	$27,136	$27,830	$1,589	6.1%	$6,957.61
5510 Roof Repairs	$245,145	$232,034	$242,882	-$2,262	-0.9%	$60,720.59
5520 Parking Lot Repairs	$258,488	$255,688	$257,139	-$1,349	-0.5%	$64,284.65
5530 Signage	$184,645	$175,365	$180,762	-$3,883	-2.1%	$45,190.54
5540 Tenant Improvements	$124,374	$118,859	$121,133	-$3,241	-2.6%	$30,283.24
5550 Leasing Commissions	$260,525	$257,034	$264,315	$3,790	1.5%	$66,078.64
5000 Gross Potential Rent	$194,938	$189,946	$200,998	$6,060	3.1%	$50,249.51
5010 Loss to Lease	$148,618	$139,066	$148,589	-$29	-0.0%	$37,147.26
5020 Vacancy Loss	$198,205	$208,271	$214,059	$15,854	8.0%	$53,514.85
5030 Concessions	$267,413	$263,080	$267,666	$253	0.1%	$66,916.39
5040 Bad Debt	$250,752	$232,938	$234,864	-$15,889	-6.3%	$58,715.89
5050 Late Fees	$202,859	$217,758	$228,749	$25,890	12.8%	$57,187.29
5060 Utility Reimbursements	$81,177	$83,133	$87,016	$5,838	7.2%	$21,753.92
5070 Parking Income	$252,864	$267,063	$268,239	$15,375	6.1%	$67,059.75
5080 Application Fees	$64,047	$64,433	$67,642	$3,595	5.6%	$16,910.46
5090 Pet Rent	$99,255	$101,418	$102,089	$2,834	2.9%	$25,522.16
5100 Laundry Income	$80,335	$74,397	$78,148	-$2,187	-2.7%	$19,537.05
5110 Cable/Internet Revenue	$140,143	$144,027	$148,912	$8,770	6.3%	$37,228.06
5120 CAM Reimbursements	$239,884	$227,327	$232,384	-$7,499	-3.1%	$58,096.10
5130 Tax Reimbursements	$140,994	$140,187	$141,374	$380	0.3%	$35,343.58
5140 Insurance Reimbursements	$131,261	$126,596	$128,172	-$3,089	-2.4%	$32,042.96
5150 Percentage Rent	$91,654	$95,060	$96,670	$5,016	5.5%	$24,167.38

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Operating Performance

Operating expenses totaled $261,000 or approximately 15.17 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $161,000, representing a 8.8% increase over the prior year. Debt service coverage ratio was 6.28x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Debt service coverage ratio was 5.86x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.14% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $83,000 or approximately 35.30 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Effective gross income for the trailing period was $167,000, representing a 12.4% increase over the prior year.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Service requests are tracked through a work-order system with an average completion time of 28 hours.

Collections for the period were 89.2% of billed charges, with bad debt of 6.4% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 36 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Financial Analysis

The going-in capitalization rate of 8.11% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $237,000, representing a 7.6% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Debt service coverage ratio was 7.23x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $230,000 or approximately 17.12 per square foot, with real estate taxes representing the largest line item.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.26x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

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